

Ganesh Shankar, CEO and Co-Founder of Responsive

Ganesh and his two co-founders have built Responsive with a very small amount of capital. They started by Bootstrapping with a Paycheck. Excellent execution, much to learn on many issues.

Sramana Mitra: Ganesh, let's start at the very beginning of your journey. Where are you from? Where were you born, raised? What kind of background?

Ganesh Shankar: I'm originally from Coimbatore, India, down south. My entire childhood and my studies – undergrad and postgrad – were all in Coimbatore, the place where I was born and raised. I come from a family of government employees. There's a saying in our family: "Even if you get a quarter cent, it better be coming from the government." This was instilled in us by my grandmother, a strong character in our family. My dad works in the agriculture department, and my dad's brother is a retired army colonel.

Sramana Mitra: So you have a lot of government-influenced families in the process.

Ganesh Shankar: I didn't want to become another government employee working from nine to five. So here I am. I live now in Frisco, Texas.

Sramana Mitra: How did you get to Frisco, Texas? You said you did all your education in Coimbatore. How does that bridge to Frisco, Texas?

Ganesh Shankar: It's a little bit of a whirlwind. I did my undergrad in the computer science, but I figured computer science is not my thing. I pursued my MBA immediately after doing my computer science, but I majored in finance and marketing.

Even in my wildest dream, I never thought I would be in the software industry, let alone I would run a software company eventually. Right after my MBA in 2005, I was a sales rep in Coimbatore, India selling financial services products like mutual funds and insurance. I was working for a stockbroker basically at that time.

Then in the 2008-2009 timeframe, I moved on to Chennai for another smaller stockbroker, but in a bigger role. I was managing the sales for entire South India. That's when the stock market crashed. It made me realize that I did not like seeing people lose their money in stock market. That's when I realized technology is the way to grow.

So I pivoted my career in 2009 from selling financial services into technology. I actually took two steps backward from managing sales for entire South India to an entry level job as a business analyst at a startup. The startup selected me because of my functional expertise in stock

market. I've always been a very curious guy. I was not studious, but curious. So I was able to grasp a lot of things around stock market – how it works and portfolio management. That got me into this business analyst role in the startup.

In 2010, I moved back to Coimbatore for various reasons. Of course, I started missing my family. I started missing my then girlfriend, who's now my wife. I moved to the role of a senior business analyst for a company in Coimbatore that happened to be headquartered in Portland, Oregon. It's a legal software company called Exterro. So they moved me here in 2011 as a director of product management.

In 2015 I started a company along with my two other co-founders. It used to be called RFPIO. In 2021, because of COVID, we migrated because I wanted to be under the sun. Portland felt a little too cloudy, windy, and rainy for me. I ended up in Frisco because of the weather, the food scene, and the centralized airport to get to the country.

Sramana Mitra: Is Frisco in the outskirts of Dallas?

Ganesh Shankar: Yes, it's about twenty five minutes north of Dallas.

Sramana Mitra: Got it. Let's go back to when you started the company. What was the premise of the company? What were you going to do?

Ganesh Shankar: In my prior life, I was a product manager. I jokingly say this to my team, that I don't have any typical startup garage or dorm room story where a bunch of friends under the same dorm came up with an idea and then take it to the market. It was nothing like that. The three of us – my co-founders Sundar and Shankar, and I – all three of us were working at the same company. I was a product manager. Sundar was the engineering manager and Shankar was the implementation manager. We were all in the process of helping our sales team.

As a product manager, I was helping my sales team write Request for Proposal (RFP). I was the subject matter expert for the product, Sundar for technology and security, and Shankar for implementation and training. We all contributed to the sales team, but my boss, the chief product officer, never appreciated my work or gave me a pay raise. It always felt like we were doing charity work for the sales team. I couldn't say no because RFP was the breadwinner for the company. If I refused, we would lose the deal.

I estimated that 30-35% of my time went into sales support activities, leaving only 65% for my key performance indicators like product management, release management, and sprint planning. This was a real hindrance, but I couldn't say no. In 2015, we looked into the market for technologies to solve this problem but found none. My co-founder and I realized there was no technology out there for our 250-employee company, let alone larger enterprises.

We decided to take matters into our own hands in late 2015 and launched the product in 2016. Eight and a half years later, we have about 600 employees worldwide, more than 2,000 customers, and are the biggest player in the space. Out of those 2,000 customers, almost 25 are Fortune 100 companies, and we have nearly 400,000 users on the platform.

Sramana Mitra: So let's go back to that beginning. What was going to be in the product? When you say you're doing an RFP product, what's in that product? As an MVP, what's in the product?

Ganesh Shankar: That's an amazing question. When you look at an RFP, there are two sides of the spectrum: the buy side issuing the RFP and the sell side responding to win the deal. Initially, we aimed to create a platform that would help both sides. Soon enough, we realized that focusing on one side was a massive market in itself. Pivoting to focus on one side was one of the best decisions in our journey.

At that time, the three of us had about 50 man-years of experience responding to RFPs. We started the job in December 2015 and launched the product in June 2016. It took us almost six months to evaluate the MVP, despite our combined knowledge. The advice I usually give to other entrepreneurs is that you are not the universe to your product. The experience we had was not the full version.

The product evolved significantly from December 2015 to June 2016. Today, we have a completely different product.

Sramana Mitra: There are a couple of questions I have here. The three of you quit your jobs in December 2015. When did you start building the MVP?

Ganesh Shankar: Right. So, I quit the job in December. Sundar and Shankar quit about a year and a half later because they were supporting the engine. I mostly took care of sales and marketing, Sundar handled engineering, and Shankar managed operations. Most of their work was done in the evenings after their day jobs.

When I quit, all I had was an early-stage wireframe, a click-around prototype, and a PowerPoint. By January or February, after a couple of months, we had a real product—not a full product, but one flow from start to finish of one use case. That was ready by January-February. We tested it in March, April, and May, and started onboarding our first customer in June. It took us almost six months to go from a PowerPoint/prototype to the first version of our product.

Sramana Mitra: So, you got to prototype in a bootstrapping with a paycheck mode. Your two co-founders who were doing the design and implementation work, stayed on working in a bootstrapping with a paycheck mode. You quit and went full-time. Then you got to a release in June of the next year, in six months. Which side did you decide to build the product for? Was it the buy side?

Ganesh Shankar: No, the sell side.

Sramana Mitra: Sales.

Ganesh Shankar: Buy side had a lot of big players like SAP, Ariba, Coupa, and Oracle. They had a lot of ERP solutions that were there already.

We realized that on the sell side, which is typically the sellers and the smaller companies who respond, they don't have a solution or a place to centralize the knowledge. So that's when we decided to stay focused on one side – the responding side.

Sramana Mitra: And that's the side that you understood because that's the side you operated from.

Ganesh Shankar: Absolutely correct.

Sramana Mitra: Double-click down for me and tell me what's in the product. If you looked at your top features with which you were able to get to first customer, what were you supplying? What were you building into that product or the MVP?

Ganesh Shankar: Today, we have a much bigger platform story, but initially when we started off, we wanted to solve one use case at which we will be the best in the entire world. No one else can compete against what that is.

Typically, RFPs come in different shapes and forms. We focused on Microsoft Excel-based RFPs. If you're a seller, you'd receive an RFP from your customer in Excel format. We were the only provider at that time who processed Excel RFPs, and we even patented it. We didn't solve for Word, PPAT, or PDF formats; we decided to excel at Excel-based RFPs.

When you receive an RFP in Excel, you upload it into our system. The system intelligently understands and parses the Excel document so you can start responding to the RFP. Often, buyers insist on keeping the RFP structure intact for easy comparison across multiple vendors. We were the first to support both importing and exporting in the same format, which we called source export. That is another key feature no one else supported at that time. Just to give you clarity on how it was prior to responsive, we truly invented that whole thing.

Before the Responsive solution, existing tools required copying text from Excel into a template, because the template is the only thing their system can understand. That's how the systems were built.

We said, "No, that's not how the real world works." Our system eliminates the need for copying and pasting. You upload the Excel RFP, our system extracts the questions, and you can collaborate with multiple stakeholders internally. Once everyone is done, the salesperson can export the answers back into the same format received from the customer, keeping the format intact but with the answers in the right place. And you can submit the RFP back.

Sramana Mitra: Now, if you came to me in 2015 with this idea, here are the questions that I would ask you. So I'm going to ask you these questions and see what level of understanding you had of the answers to these questions, first and foremost.

What percentage of the RFP process was in this Excel format?

Ganesh Shankar: Let's take a step back. Excel is the next level, and I'll get to that. At that time, when we did the analysis, we realized that if you're trying to sell to the government, it's all about RFPs. At that time, I believe it was a couple of trillion dollars' worth of proposals each year.

Our research indicated that responders would spend anywhere between 2-3% of the project value to prepare an RFP. For example, if you're bidding on a \$100K project, you could easily spend \$2-3K, or even up to \$5K, just to prepare the RFP.

Without even knowing the result, whether you win the RFP or not, it is easy to spend anywhere between 2-5%. The market, with a trillion dollars, doubles if you include the private segment, making it a massive market. Even at the bare minimum of 2%, billions of dollars are spent on responding to RFPs.

When we did the analysis, we found that almost 40-50% of those requirements came in Excel, around 40% in Word, and 10% in PDF. PDF is only ten percent because it is non-editable, making it a nightmare for responders. So, it is either Word, which is the most common, or Excel. We focused on Excel.

Sramana Mitra: Okay, got it. You just took me through a bit of the pricing and ROI analysis. What did you price your product at?

Ganesh Shankar: One of the biggest moves of RFP.io back in the day, which separated us from the rest of the crowd, was our belief in helping our customers win business. Many licensing models charge based on the number of users in the system, with each user paying a fee. We did not use that model at Responsive. We felt giving unlimited users was important because we wanted our customers to win RFPs.

In the early stages, and even now, we positioned ourselves to support companies hiring product managers or security managers to respond to RFPs. These roles don't directly generate revenue but address growing pains. We didn't want to be part of that pain. So, we told our customers, "If you are buying from Responsive, bring in anyone you need to help win a deal." Right subject matter expertise is more important than asking for extra dollars to license them.

Then, how did we monetize? We monetized based on the number of proposals managed in our platform.

Sramana Mitra: How many proposals were being managed on your platform?

Ganesh Shankar: The more you do in a platform, tells me you are bringing in more revenue opportunity for the company. Rather than being part of a growing pain, I want to be part of a revenue generation process. We structured our licensing in a way that is based on volume of proposals that you manage.

Sramana Mitra: So, you're based on the volume of proposals, not the dollar amount of proposals. You're not really getting a cut, but you are a volume-based pricing model.

Ganesh Shankar: Correct. We're not getting a cut of the dollar side, but when you do more, that tells me you are doing more RFPs than ever before. So I want to be part of that process.

Sramana Mitra: And how much did you charge? What's the tiered pricing model? Where does it start and how does it go up?

Ganesh Shankar: In the initial days, it was closer to \$6,000 a year. Basically, \$500 per month to begin with. We gave five proposals to manage at any given time for unlimited users.

Sramana Mitra: Then how does that climb? What kind of average deal sizes were you doing?

Ganesh Shankar: Back then, our average deal size in 2016 when I started the business, it was less than \$4,800 because of the discounts that we gave. Today, our average size is probably fifteen times of that in less than eight years.

Sramana Mitra: So what are the major milestones along the way? I think we understand the business and the value proposition. I think we understand very well your initial market penetration strategy. I think you did a very, very nice job of picking a segment with very specific pain points. It's like Excel to Excel – Excel in, work on it, and then Excel out. It's a very nice positioning. I think it's a wonderful positioning and it's a large portion of the market. So it's good TAM or available market.

As you went into the market, what were some of the big inflection points?

Ganesh Shankar: Yes, the first one I would say is to decide, which side to pick. Today we have both sides of the segment.

Sramana Mitra: You already explained that.

Ganesh Shankar: That's the number one decision. Number two decision was regarding fundraising. How do we raise funds? We always believed in creating a sustainable business. We did raise a couple of million dollars from VCs and angel investors in 2017.

Sramana Mitra: By the time you raised that first round of institutional funding, you were already in revenue, right?

Ganesh Shankar: Yes.

Sramana Mitra: What level of revenue were you at?

Ganesh Shankar: I would say probably about a million dollars.

Sramana Mitra: Great!

Sramana Mitra: Until that million dollar point where you brought in institutional capital, did the three of you fund the company through your own savings?

Ganesh Shankar: Yes, that's right. I lived in an apartment. None of us had a big bank balance. We had a couple of small investors – friends and family, basically business colleagues, who have seen us how we work. They supported us early on.

Sramana Mitra: You also had this bootstrapping with the paycheck situation, which gives you lots of runway. That's a very smart strategy to get things off the ground.

Ganesh Shankar: Yes and no. We needed capital for the initial development, and we had a team in India to work on it. That helped a bit. My two other co-founders were on paycheck. The first six months was when we needed the capital. We are truly a customer funded business.

Sramana Mitra: You have maintained discipline in the business. You have managed it in a very disciplined way in more or less the bootstrapped spirit and ethos is how you've built the business. When you raised money in 2017, how much did you raise?

Ganesh Shankar: We raised \$2 million.

Sramana Mitra: Is that the only money you raised or did you raise afterwards as well?

Ganesh Shankar: That's a good question. We started getting into enterprise in late 2017. One of those large Fortune 100 customers we were engaging with were questioning the stability of our business. We'd started in 2016-17 and they were wondering, "Can you support this? What does your business continue to look like? What is your contingency plan? What does your audited finance statement look like?"

What audited statement are you talking about? Money comes into my bank account and goes out. That's when we realized we needed a bigger banner behind us to showcase that this is a viable business.

In 2018, we brought in a private equity firm called K1 to do a minority round in our business. At that time, technically we were not a PE type deal, but K1, who is our partner today, saw the opportunity. The only condition they had was to clean up the cap table. We'd about 11 small investors from the initial round and then nine additional investors. We still hold the record for giving the highest return in just about 13 months for those early investors in Oregon. We cleaned the entire cap table and gave exit to 11 investors. Now, we have only one investor in the cap table, which is K1. They are minority holders.

We shared a press release with our enterprise customers saying that a private equity firm is our sponsor.

Sramana Mitra: I see. So that was a real issue. You did have a real issue with selling to the enterprises because they were asking for some sort of a guarantee that you would remain afloat.

Ganesh Shankar: Exactly.

Sramana Mitra: All right. What else is interesting in terms of inflection points or strategic moves that you made that are worth discussing in this case study?

Ganesh Shankar: We were very thoughtful about a few things. As an entrepreneur or the CEO of the company, I feel blessed and fortunate to have an amazing co-founding team. That was one of the biggest decisions. We have a very high esteem among us.

Sramana Mitra: You were three co-founders who have worked together before and that is extremely valuable. We get this question all the time, “Can you help us find a co-founder?” I say, “No, we don’t help people find co-founders. YOU need to find co-founders from people you have worked with.”

It’s like you don’t get married without dating somebody. The marriage is going to end in a divorce and being startup co-founders, divorcing your co-founders is very hard.

Ganesh Shankar: I’ve seen the other extreme also, Sramana. Most often, you end up starting companies with close friends and close buddies where you don’t respect each other’s time. You take things for granted. You need to have healthy friction in a good way. You need boundaries. All three of us worked together earlier and were not childhood friends.

Another thing was that there’s no overlapping of talent. I was sales and marketing. Sundar was engineering and Shankar was operations.

Sramana Mitra: You had a complementary skill set.

Ganesh Shankar: The second important aspect in our journey was finding the right co-founding team. The third was not getting carried away. Looking back, did I need a reason to raise \$2 million? Probably not. When I talk to up-and-coming entrepreneurs, I often reflect on how I split my time as a CEO into three buckets: fundraising, customer acquisition, and building teams.

Early on, I spent almost 60% of my time on fundraising, even though we had good inbound customers. I didn’t realize the importance of dilutions at that time. About 30-40% of my time was spent on customer acquisition, and 10-20% on team building.

If I had to do it again, I would spend 50% of my time on customer acquisition. I would beg, borrow, or steal to bring in customers because customers bring more customers.

Sramana Mitra: This is something we reinforce all the time in 1Mby1M. Do not chase investors, chase customers. If you get customers, investors will chase you.

Ganesh Shankar: Exactly. We’re the live example. There’s no chicken and egg story. Customers should be the number one priority.

Number two priority is building the team including your co-founding team. You may say, “Oh, I don’t have money. How do I build a team?”

If you're a smart, scrappy founder, you find ways to bring them on. As a CEO or a founder, you're always on the lookout for money. It's OK, but don't spend majority of your energy on wasting money.

Sramana Mitra: About 60%-70% of startup founders' time goes into fundraising and that's a complete waste of time.

Ganesh Shankar: I think that is also because of the times we live in.

Sramana Mitra: The media is constantly touting fundraising. It's a complete misleading of the startup ecosystem.

Ganesh Shankar: That's what I feel like. There's a lot of media spotlight on companies that raise a ton of money. They also portray bootstrapped companies.

I did not have the luxury to bootstrap, Sramana, but I would say what we are missing are these thoughtful, sustainable companies that are doing a meaningful job. They might not bootstrap but are sustaining by raising not too much capital.

Look at us – nine years in, 600 employees, 2,000 plus customers and did not raise much capital. We will qualify neither under big capital raisers nor bootstrappers. So, we get ignored most of the time. We've been profitable since 2018 onwards. We built the whole business with a very small capital raise. That's never been on the news.

Sramana Mitra: We are very focused on capital efficient business building. Whether it's bootstrapped or general bootstrapping type of business with small capital raised, that is really our preferred way of building businesses. So, you're absolutely in the sweet spot of the way we like to build businesses.

What revenue level does that correspond to these metrics that you're giving?

Ganesh Shankar: We have been mandated by my investors not to disclose.

Sramana Mitra: You can give a range, whatever you're comfortable with is fine. Are we talking \$50 million plus or \$100 million plus?

Ganesh Shankar: Almost there.

Sramana Mitra: Okay. \$50-\$100 million dollars. Great. That's excellent.

Sramana Mitra: So that actually tells me something very interesting. You've been in business for about nine years and you've hit over \$50 million in revenue.

Ganesh Shankar: Correct.

Sramana Mitra: That is almost venture scale growth, which is remarkable. With \$2 million of funding, if you have achieved almost venture scale growth, that is a remarkably good execution.

Ganesh Shankar: And we have been profitable since 2018 onwards. We've been profitable even in 2020. We've never gone into the red zone since 2018.

Sramana Mitra: Fantastic. That's really fabulous. I love the story. On the go-to-market side, are there strategies that you follow that gave you that kind of velocity?

Ganesh Shankar: Yes. Another important decision in our journey was not giving up. We did not give up the C-level titles too quickly and easily. In fact, our CMO and CRO joined just last year. These are our first-time CMO and CRO, but they have proven experience. Our CMO comes from large-scale businesses like DocuSign and Seismic. Our CRO comes from Conga, which is a \$300-\$400 million plus business. Our CFO joined from PowerSchool about two months ago, transitioning from public to private in a \$6 billion transaction.

We've been very thoughtful when it comes to giving out these titles. Too early, and it can sometimes prevent you from making necessary changes. I was the acting CMO and CRO, my co-founder was the acting CFO, and my other co-founder was the acting CIO. Now, we have people to fill those roles.

This approach has kept us going. In fact, you'd be amazed to know that we have over 150 private equity and venture capital companies as customers. They know our business inside and out. They pay us even though they don't have an RFP use case. Companies like Thoma Bravo, General Atlantic, TCV, and Khosla Ventures are all our customers today.

Sramana Mitra: Why?

Ganesh Shankar: When they raise funds from their LPs, they have to constantly respond to due diligence questionnaires. They don't respond to RFPs, but they've very similar use cases. Non-profit organizations use the application for grant writing. Our original idea was to respond to RFPs; but more than push, it kind of got pulled by customers to use the platform for many use cases.

Sramana Mitra: All right. Well, it's an amazingly great story, I think, and there's a lot to learn from it. I'm really looking forward to publishing the story. So, congratulations. Great job. Really great job with execution, and I take it you're basically operating with direct sales, right?

Ganesh Shankar: Correct. It is operating with direct sales.

One thing I didn't cover is how important it is for startups or sales-driven organizations to celebrate early achievements. In the initial days, we understood the philosophy of a few key principles very well.

One of my mentors told me a few things that are ingrained in my brain.

The number one is time kills deals. We've been very fast in how we execute tasks – whether it's product development, delivery of product, or closing deals.

The other is, compensation drives behavior. I can go into the details if you want. Now we have a different way of performance appraisal, but I'd like to talk about how we were doing it when we're about a million dollars.

Sramana Mitra: Let me probe that. So on the deal-closing side, you have something that is actually very advantageous. For the type of business you're in, it's easy to prove value.

People just need to do one RFP using your product, and they can immediately figure out whether it works or not and how well it works. So that's a very good asset to have, where you can prove value with a real POC, and you're off and running.

Ganesh Shankar: Absolutely. Initially, even for our licensing structure, we didn't want to anchor ourselves to a growing pain of the customers; we rather want to anchor ourselves to the revenue side. All these things are connected. Our pricing was connected to how we wanted to be part of revenue generation rather than just part of a process.

Sramana Mitra: Now talk about the compensation structure. What did you do early on to get to an accelerated structure?

Ganesh Shankar: I think I started with a mistake but was able to correct it quickly. When you bring in a sales team, you typically compensate based on the deal size they bring in. In 2016, we didn't have a sales team. In 2017, I hired our first sales rep. That year, we needed to prove to the market that we could close deals faster.

My mentor said, "Compensation drives behavior." What behavior did I want? Initially, I thought if my seller brings in a \$10K deal, I'd give them a percentage. But that wasn't the behavior I wanted. I wanted a high volume of paying customers, not just large deals. So, in 2017, I based the compensation on the number of unique paying customers my sellers brought in. We didn't worry about how much they were paying. Sellers were compensated with a flat fee for each paying customer. In 2017, we quickly gained almost 200-300 customers.

In 2018, we changed the compensation plan to focus on deal sizes, as we had enough customers to support fundraising. By 2019, we incentivized longer-term contracts, not just one-year deals. Today, more than 60% of our deals are for two or three years, with the remaining 40% being annual deals.

In 2017, we integrated this approach with the product team. We have performance appraisals once or twice a year. In 2017, we set milestones: if we closed 50 deals, everyone, including interns and product managers, got a pay raise – no matter when it happened, it could even be the next day. The next milestone was 100 deals. This motivated the team, and I remember seeing countdown boards in the office. We were just motivated to get the deal in.

So that was an amazing experience to see how this propelled our team to achieve the result that we wanted in terms of logos. Then we pivoted. Today, we have a very proper performance appraisal. We can't do that at this scale, with a team of 600 people. But when we were 50 to 100, there was a massive acceleration. We moved from 50 to 100 customers, then 100 to 250, and 250-500 customers.

Sramana Mitra: How many people in Coimbatore?

Ganesh Shankar: We're about 300 now in India.

Sramana Mitra: Fantastic. I'm sure there are a lot more things we could cover, but I think this is a good story. I think we should stop here because we've covered a lot of interesting nuances that people should digest. So, congratulations again, and I look forward to following the next phase of your journey. Good luck.

Ganesh Shankar: Thank you so much. I really appreciate the opportunity.